Introduction to Business – MGT211

Short Notes By VU Nexus

Theme 7

Business Finance and Financial Systems

1. Role of Finance in Business

Finance is the **lifeblood of a business**, ensuring:

- **Daily operations** (paying salaries, utility bills)
- **Growth & expansion** (purchasing machinery, opening branches)
- **Marketing & strategy** (advertising, campaigns)
- **Maintaining cash flow**
- **Attracting investors**

Example: A Lahore clothing brand uses finance for **sewing machines (CapEx)**, **salaries (OpEx)**, and **Eid campaigns**.
Poor financial management → **business failure**, even if product is good.

2. Sources and Uses of Funds

Uses of Funds

1. **Capital Expenditure (CapEx)** – Long-term assets
   Machinery, building, equipment
2. **Operating Expenses (OpEx)** – Daily running costs
   Salaries, utilities, rent

Sources of Funds

1. Equity Financing

- Selling ownership shares (personal savings, investors, venture capital)
- **Pros:** No repayment

- **Cons:** Ownership diluted

2. Debt Financing

- Loans, bank financing, bonds
- **Pros:** Full control retained
- **Cons:** Must repay with interest (risk)

3. Internal Financing

- Reinvesting profits or selling old assets
- **Pros:** No debt, no dilution
- **Cons:** Limited funds

4. Grants/Subsidies

- Government or NGO financial support
- **Pros:** No repayment
- **Cons:** Hard to qualify and restrictive

3. Short-Term vs Long-Term Financing

Short-Term Financing (< 1 year)

Used for **immediate needs** like cash shortages or inventory.

- **Trade Credit:** Supplier gives goods on credit (30 days).
- **Bank Overdraft:** Withdraw more than balance; high interest.
- **Factoring:** Selling receivables for quick cash.

Long-Term Financing (> 1 year)

Used for **expansion and large assets**.

- **Equity (IPOs)** – Good for scaling but reduces ownership
- **Debentures/Bonds** – Fixed-interest debt
- **Venture Capital** – High-growth startups give equity for funding

Example:
Tech startup → venture capital
Manufacturer → long-term bank loan for equipment

4. Securities Markets

Financial markets where **stocks, bonds, derivatives** are traded.

Primary Market

- New securities issued (e.g., **IPOs**)

Secondary Market

- Trading of already issued securities
- Pakistan: **PSX (Pakistan Stock Exchange)**
- Regulated by **SECP**
- Investors need:
  → Brokerage account
  → CDC account

Challenges: Low public participation, economic instability.

5. Trends in Financial Management

1. **Digital Transformation**
   - AI forecasting, cloud accounting tools (QuickBooks)
2. **ESG Investing**
   - Focus on environmental & social governance
   - Green bonds
3. **Fintech Growth**
   - Mobile wallets: JazzCash, Easypaisa
   - Digital banks: NayaPay
   - Blockchain applications
4. **Islamic Finance Growth**
   - Popular due to ethical and Shariah compliance
   - Instruments like **Sukuk** (Islamic bonds)

6. Blockchain & Cryptocurrency

- **Blockchain:** Decentralized, tamper-proof digital ledger
- Underlies cryptocurrencies like **Bitcoin**
- In Pakistan:
  → Crypto is **not legal tender**, but informally traded
- Risks: Volatility, scams, lack of regulation
- Benefits: Transparency, secure record-keeping
  (e.g., supply chain tracking)

7. Islamic Finance Principles

Islamic finance prohibits **interest (riba)** and promotes **ethical, asset-based** transactions.

Key Features:

- **Risk-sharing:** Profits/loss shared
- **Ethical investing:** No alcohol, gambling, etc.

Common Islamic Products:

- **Murabaha:** Cost-plus financing
- **Mudarabah:** Profit-sharing
- **Musharakah:** Joint venture
- **Ijara:** Leasing

Pakistan's major Islamic bank: **Meezan Bank**

8. Accounting: The Language of Business

Accounting records and reports all financial activities.

Main Financial Statements:

- **Balance Sheet** – Assets, liabilities, equity
- **Income Statement** – Profit or loss
- **Cash Flow Statement** – Cash inflow/outflow

Accounting helps with:

- Investor confidence
- Fraud detection
- Compliance with laws
- Decision-making using data

Tools: **SAP, Tally, QuickBooks**

Key Takeaways (Summary)

- Finance enables **operations, growth, and investment**.
- Businesses use different funding sources: **equity, debt, internal, grants**.
- Financial markets (PSX) connect investors and companies.
- New trends: **fintech, blockchain, digital accounting, ESG**.
- Islamic finance combines **profitability + ethics**.
- Accounting provides **transparency and decision support**.

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